16-3 Advertising

It is nearly impossible to go through a typical day in a modern economy without being bombarded with advertising. Whether you are surfing the Internet, posting on Facebook, reading a magazine, watching television, or driving down the highway, some firm will try to convince you to buy its product. Such behavior is a natural feature of monopolistic competition (as well as some oligopolistic industries). When firms sell differentiated products and charge prices above marginal cost, each firm has an incentive to advertise to attract more buyers to its particular product.

The amount of advertising varies substantially across products. Firms that sell highly differentiated consumer goods, such as over-the-counter drugs, perfumes, soft drinks, razor blades, breakfast cereals, and dog food, typically spend between 10 and 20 percent of their revenue on advertising. Firms that sell industrial products, such as drill presses and communications satellites, typically spend very little on advertising. And firms that sell homogeneous products, such as wheat, salt, sugar, and crude oil, spend nothing at all.

For the economy as a whole, about 2 percent of total firm revenue is spent on advertising. This spending takes many forms, including ads on websites, social media, television, radio, and billboards and in newspapers, magazines, and direct mail.

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